

CHAPTER 4

Globalisation and the Indian Economy

NCERT Exercise Solutions

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✨ Try each question yourself first, then check the answer. 💡 answers are samples: write your own.
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Let's work this out · Production across countries

1 **Complete the statement to show how the production process in the garment industry is spread across countries:**

"The brand tag says 'Made in Thailand' but they are not Thai products... In making garments, the company may, for example, get cotton fibre from Korea, ..."

💡 SAMPLE ANSWER

Model completion:

...get cotton fibre from Korea, have it woven into cloth and dyed in China, get zips and buttons from Japan, get the garments designed in Europe or the USA, stitched in Thailand or Bangladesh where labour is cheap, and finally sell them under its brand name in markets all over the world.

- Each step is done in the country where it is cheapest or best, so production is spread across many countries.

Let's work these out · Interlinking production across countries (Ford Motors)

1 **Would you say Ford Motors is a MNC? Why?**

✔ ANSWER

Yes. Ford Motors is an MNC because it owns or controls production in more than one nation: its production is spread over 26 countries, including a large plant near Chennai in India.

2 **What is foreign investment? How much did Ford Motors invest in India?**

✔ ANSWER

- **Foreign investment** is investment made by MNCs, i.e., money spent by a foreign company to buy assets such as land, buildings, machines and other equipment in another country, in the hope of earning profits.
- Ford Motors spent **Rs 1700 crore** to set up a large plant near Chennai (1995).

3 **By setting up their production plants in India, MNCs such as Ford Motors tap the advantage not only of the large markets that countries such as India provide, but also the lower costs of production. Explain the statement.**

✔ ANSWER

- **Large market:** India has a huge population and a growing number of well-off buyers. Ford sold 88,000 cars in the Indian markets by 2017.

- **Lower costs:** labour (skilled and unskilled) and other resources are cheaper in India than in the US or Europe.
- So Ford could make cars cheaply in India and sell them both in India and abroad (1,81,000 cars exported to South Africa, Mexico, Brazil and the USA).
- This lowers its cost of production and raises its profits.

4 **Why do you think the company wants to develop India as a base for manufacturing car components for its global operations? Discuss the following factors:**

(a) cost of labour and other resources in India

(b) the presence of several local manufacturers who supply auto-parts to Ford Motors

(c) closeness to a large number of buyers in India and China

✔ ANSWER

(a) Cost of labour and resources: Skilled engineers and workers are available at low wages in India, and other resources are cheap. This brings down the cost of making components.

(b) Local auto-parts makers: Many Indian companies already make auto-parts. Ford can buy parts from them cheaply and quickly instead of setting up everything itself.

(c) Closeness to buyers: India and China together have a very large number of buyers. Making components near these markets cuts transport cost and time.

So India is a cheap and convenient base for supplying components to Ford's factories around the world.

5 **In what ways will the production of cars by Ford Motors in India lead to interlinking of production?**

✔ ANSWER

- Ford set up its plant jointly with an Indian company, Mahindra and Mahindra.
- Local Indian companies supply auto-parts and raw materials to Ford.
- Car components made in India are exported to Ford's factories in other countries, and cars made in India are sold abroad.
- Ford competes closely with Indian car makers.

Thus production in India becomes linked with production in many other countries.

6 **In what ways is a MNC different from other companies?**

✔ ANSWER

- An MNC owns or controls production in **more than one country**; an ordinary company produces mainly in one country.
- MNCs set up factories and offices where labour and other resources are cheap, to lower costs and earn greater profits.
- MNCs have huge wealth (some have more than the budgets of developing country governments), so they have great power and influence.
- They spread production across countries through joint production, buying local companies and placing orders with small producers.

7 **Nearly all major multinationals are American, Japanese or European, such as Nike, Coca-Cola, Pepsi, Honda, Nokia. Can you guess why?**

💡 **SAMPLE ANSWER**

- These are developed countries where companies have huge wealth (capital) to invest in other countries.
- They have the latest technology and research centres.
- They developed early, so their companies became big and well known worldwide (strong brands).

- Their governments and international organisations such as the WTO support free trade and investment, which helps their companies spread.

⭐ Let's work these out · Foreign trade and integration of markets

1 **What was the main channel connecting countries in the past? How is it different now?**

✔ ANSWER

- In the past (until the middle of the twentieth century), **foreign trade** was the main channel. Raw materials, food stuff and finished goods crossed borders; production was organised within countries.
- Now, besides trade, countries are connected through **foreign investment by MNCs**, which spread production across countries. Technology and (to a small extent) people also move between countries.

2 **Distinguish between foreign trade and foreign investment.**

✔ ANSWER

Foreign trade	Foreign investment
Buying and selling of goods and services between countries (exports and imports).	Money spent by MNCs to buy assets like land, buildings and machines in another country.

Connects markets of different countries.	Connects production in different countries.
Example: Chinese toys sold in India.	Example: Ford spent Rs 1700 crore on a plant near Chennai.

3 **In recent years China has been importing steel from India. Explain how the import of steel by China will affect:**

(a) steel companies in China.

(b) steel companies in India.

(c) industries buying steel for production of other industrial goods in China.

✔ ANSWER

(a) Steel companies in China: They face competition from cheaper Indian steel. They may lose sales and profits, and must cut costs or improve quality.

(b) Steel companies in India: They get a bigger market beyond India, so their sales, production and profits can rise.

(c) Industries buying steel in China: They get more choice and can buy steel at lower prices, which lowers their cost of production.

4 **How will the import of steel from India into the Chinese markets lead to integration of markets for steel in the two countries? Explain.**

✔ ANSWER

- Steel travels from the Indian market to the Chinese market.
- Chinese buyers can choose between Chinese and Indian steel, so choice rises.
- Prices of steel in the two markets tend to become equal.
- Steel producers of India and China now closely compete with each other even though they are far apart.

Thus the steel markets of the two countries get connected (integrated).

⭐ Let's work these out · What is globalisation?

1 **What is the role of MNCs in the globalisation process?**

✔ ANSWER

- MNCs look for cheap locations for production and invest in them, so foreign investment rises.
- A large part of foreign trade is controlled by MNCs (e.g., Ford's Indian plant exports cars and components).

- They spread production across many countries and link local producers with world markets.

So MNCs are a major force in the integration of production and markets across countries.

2 **What are the various ways in which countries can be linked?**

✔ ANSWER

- Movement of **goods** (foreign trade)
- Movement of **services**
- Movement of **investments** (foreign investment by MNCs)
- Movement of **technology**
- Movement of **people** in search of better income, jobs or education (this has not increased much because of restrictions).

3 **Choose the correct option. Globalisation, by connecting countries, shall result in**

(a) lesser competition among producers.

(b) greater competition among producers.

(c) no change in competition among producers.

✔ ANSWER

(b) greater competition among producers.
Producers of different countries now compete in the same markets.

Let's work these out · Using IT in globalisation

1 **In the example of the news magazine (designed in Delhi for London), underline the words describing the use of technology in production.**

✔ ANSWER

Words showing use of technology:

- text sent **through Internet**
- orders given **using telecommunication facilities**
- designing **done on a computer**
- magazines **sent by air** to London
- payment done **instantly through the Internet (e-banking)**

2 **How is information technology connected with globalisation? Would globalisation have been possible without expansion of IT?**

✔ ANSWER

- IT (telecommunications, computers, Internet) lets people in different countries contact each other, share information and send money instantly at very low cost.
- This makes it possible to spread production of goods and especially services (call centres, magazine design, data entry, accounting) across countries.

- MNCs can control and coordinate factories and offices in many countries from one place.

No, globalisation at its present speed and scale would not have been possible without IT, though trade existed earlier.

⭐ Let's work these out · Liberalisation of foreign trade and foreign investment policy

1 **What do you understand by liberalisation of foreign trade?**

✔ ANSWER

Liberalisation of foreign trade means **removing barriers or restrictions** set by the government on foreign trade (such as taxes on imports and quotas).

- Businesses can then decide freely what they wish to import or export.
- The government imposes much less restrictions than before. India did this starting around 1991.

2 **Tax on imports is one type of trade barrier. The government could also place a limit on the number of goods that can be imported (quotas). Can you explain, using the example of Chinese toys, how quotas can be used as trade barriers? Do you think this should be used? Discuss.**

💡 SAMPLE ANSWER

- The government may allow only a fixed number of Chinese toys (say, a few lakh) to be imported each year.
- Once the limit is reached, no more Chinese toys can come in. So their supply in Indian markets is limited.
- Indian toy makers get a share of the market and are protected from losses.

Should it be used? Model view: Yes, for a limited period, to protect small producers and workers until they become strong enough to compete. But it should not be permanent, because it reduces choice for buyers, keeps prices higher and may make producers careless about quality.

⭐ Let's work these out · World Trade Organisation

1 **Fill in the blanks.**

WTO was started at the initiative of ____ countries. The aim of the WTO is to ____. WTO establishes rules regarding ____ for all

countries, and sees that ____. In practice, trade between countries is not ____. Developing countries like India have ____, whereas developed countries, in many cases, have continued to provide protection to their producers.

✔ ANSWER

WTO was started at the initiative of **developed** countries. The aim of the WTO is to **liberalise international trade**. WTO establishes rules regarding **international trade** for all countries, and sees that **these rules are obeyed**. In practice, trade between countries is not **free and fair**. Developing countries like India have **removed trade barriers**, whereas developed countries, in many cases, have continued to provide protection to their producers.

2 What do you think can be done so that trade between countries is more fair?

💡 SAMPLE ANSWER

- Developed countries should also follow WTO rules and stop paying huge sums (subsidies) to their farmers and producers.
- WTO rules should be made fairly, with an equal say for developing countries.
- Developing countries should be allowed to protect their weak sectors (like agriculture and small industries) for some time.

- Developing countries can join together to negotiate at the WTO for 'fairer rules'.
- People's organisations can run campaigns for fair trade.

3 **The US government gives massive sums of money to farmers for production. At times, governments also give support to promote production of certain types of goods, such as those which are environmentally friendly. Discuss whether these are fair or not.**

💡 **SAMPLE ANSWER**

- **US farm support:** Not fair in trade. It lets US farmers sell farm products at abnormally low prices in other countries, which hurts poor farmers in developing countries, while those countries are asked to stop supporting their own farmers.
- **Support for environment-friendly goods:** Can be fair, because it benefits everyone (cleaner air, less pollution) and helps new eco-friendly products grow. But it should be open and not used to dump cheap goods in other countries.

Conclusion: support is fair when it serves the public good and does not harm producers in other countries.

⭐ Let's work these out · Impact of globalisation in India

1 **How has competition benefited people in India?**

✔ ANSWER

- Consumers, especially well-off people in urban areas, have greater choice of goods.
- They enjoy improved quality and lower prices, so their standard of living has risen.
- New jobs have been created in industries where MNCs invested (cell phones, automobiles, electronics, banking...).
- Local companies supplying raw materials to these industries have prospered.
- Top Indian companies have adopted newer technology and raised standards; some have become MNCs themselves.

2 **Should more Indian companies emerge as MNCs? How would it benefit the people in the country?**

💡 SAMPLE ANSWER

Model answer: Yes.

- Indian MNCs earn profits abroad and bring income into the country.
- They create more jobs for Indians, in India and abroad.
- They invest in new technology and better production methods, which raises quality.

- They improve India's image and exports (e.g., Tata Motors, Infosys, Asian Paints).

But they should also take care of workers' rights and small suppliers.

3 **Why do governments try to attract more foreign investment?**

✔ ANSWER

- Foreign investment brings money for new factories, machines and infrastructure.
- It brings the latest technology.
- It creates new jobs.
- It increases production, exports and the income of the country.

So governments set up SEZs, give tax breaks and allow flexibility in labour laws.

4 **The setting of SEZs has been opposed by some people in India. Find out who are these people and why are they opposing it.**

💡 SAMPLE ANSWER

Model answer:

- **Farmers and villagers** whose land is taken for SEZs: they lose land, homes and livelihood, often for low compensation.
- **Agricultural labourers** and fishermen: they lose work.

- **Workers and trade unions:** labour laws are flexible in SEZs, so jobs are temporary and less secure.
- **Environmental groups:** SEZs can damage forests, wetlands and water sources.
- Some people also say that tax holidays for companies mean the government loses revenue.

(Find local examples in newspapers or on the Internet.)

⭐ Let's work these out · Small producers: Compete or perish

1 **What are the ways in which Ravi's small production unit was affected by rising competition?**

✔ ANSWER

- In 2001 the government removed restrictions on imports of capacitors (as per its agreement at WTO).
- MNC brands forced the Indian television companies (Ravi's main clients) to move into assembling for MNCs, so they bought fewer capacitors.
- Those who still bought preferred imported capacitors, which cost half of Ravi's price.
- Ravi now produces less than half of what he produced in 2000, and has only seven workers instead of 20.

- Many of his friends in Hyderabad and Chennai closed their units.

2 **Should producers such as Ravi stop production because their cost of production is higher compared to producers in other countries? What do you think?**

💡 **SAMPLE ANSWER**

Model answer: No.

- Small industries employ the largest number of workers (11 crores) after agriculture; closing them would make many jobless.
- With help from the government (cheap credit, better infrastructure, technology), they can lower costs and compete.
- They should improve quality and look for new markets.

So producers like Ravi should be supported, not shut down.

3 (i) **Small producers in India need three things to compete better: (a) better roads, power, water, raw materials, marketing and information network (b) improvements and modernisation of technology (c) timely availability of credit at reasonable interest rates.**

Can you explain how these three things would help Indian producers?

✔ ANSWER

- **(a) Infrastructure:** good roads, power and water cut costs and delays; a marketing and information network helps them find buyers and know prices.
- **(b) Modern technology:** raises output and quality and lowers the cost per unit.
- **(c) Cheap, timely credit:** gives money to buy machines and raw materials without falling into debt from high interest.

Together these lower their cost and help them compete with imports and MNCs.

3 (ii) **Do you think MNCs will be interested in investing in these? Why?**

💡 SAMPLE ANSWER

Mostly no. MNCs invest only where they can earn high profits. Roads, power, water and loans for small producers bring low or slow returns, and helping small producers would create competitors for MNCs themselves.

3 (iii) Do you think the government has a role in making these facilities available? Why?

💡 **SAMPLE ANSWER**

Yes. Such facilities are public needs that private companies will not provide properly. The government's duty is to protect the interests of all people, not only the rich. Supporting small producers saves crores of jobs and makes development fair.

3 (iv) Can you think of any other step that the government could take? Discuss.

💡 **SAMPLE ANSWER**

- Use trade barriers (taxes, quotas) for some time to protect weak industries.
- Give training and skill development to workers and owners.
- Help small producers form cooperatives to buy raw materials and sell together.
- Buy from small industries for government needs.
- Negotiate at the WTO for fairer rules.

Let's work these out · Competition and uncertain employment

1 **In what ways has competition affected workers, Indian exporters and foreign MNCs in the garment industry?**

✔ ANSWER

- **Workers:** jobs are temporary, not permanent; long working hours and night shifts in peak season; low wages, forced overtime; no benefits like provident fund or health insurance (e.g., Sushila earns less than half of what she earned earlier).
- **Indian exporters:** to get large orders, they must cut costs; since raw material costs cannot be cut, they cut labour costs. They face fluctuating orders and thin profits.
- **Foreign MNCs:** they get the cheapest goods and make large profits.

2 **What can be done by each of the following so that the workers can get a fair share of benefits brought by globalisation?**

(a) government

(b) employers at the exporting factories

(c) MNCs

(d) workers.

💡 SAMPLE ANSWER

(a) Government: ensure that labour laws are properly implemented (minimum wages, fixed hours, safety, benefits) and workers get their rights.

(b) Employers: pay fair wages and overtime, give job security and benefits like provident fund and health insurance, provide safe working conditions.

(c) MNCs: pay fair prices to exporters and insist that their suppliers treat workers fairly; share a part of their profits.

(d) Workers: form unions and organisations, demand their rights collectively, and improve their skills.

3 **One of the present debates in India is whether companies should have flexible policies for employment. Summarise the point of view of the employers and workers.**

✔ ANSWER

Employers' view:

- Flexible hiring (for short periods when there is pressure of work) reduces labour costs.
- It helps them compete with producers worldwide and get large orders.
- It attracts foreign investment.

Workers' view:

- Jobs are no longer secure; they have no regular income.

- They get low wages, long hours and no benefits like provident fund, health insurance or double-rate overtime.
- They do not get a fair share of the benefits of globalisation.

📝 Exercises

1 **What do you understand by globalisation? Explain in your own words.**

✔ ANSWER

Globalisation is the process of **rapid integration or interconnection between countries**.

- It happens mainly through greater **foreign trade** and greater **foreign investment** by MNCs.
- More and more goods, services, investments and technology move between countries; people move too, but less.
- As a result, production and markets of different countries get linked. For example, a company may design a product in the USA, make parts in China, assemble it in Mexico and run customer care from India.

So the world is coming closer and countries depend more on each other.

2 **What were the reasons for putting barriers to foreign trade and foreign investment by the Indian government? Why did it wish to remove these barriers?**

✔ ANSWER

Reasons for putting barriers (after Independence):

- To protect producers within the country from foreign competition.
- Industries were just coming up in the 1950s and 1960s; competition from imports would not have allowed them to grow.
- So India allowed imports of only essential items such as machinery, fertilisers and petroleum. (All developed countries also protected their producers in their early stages.)

Reasons for removing them (from around 1991):

- The government felt that the time had come for Indian producers to compete with producers around the globe.
- Competition would improve the performance and quality of Indian producers.
- The decision was supported by powerful international organisations.

3 **How would flexibility in labour laws help companies?**

✔ ANSWER

- Companies can hire workers 'flexibly' for short periods when there is intense pressure of work, instead of on a regular basis.
- They need not pay workers for the whole year or give benefits like provident fund and health insurance.
- This reduces the cost of labour, so they can sell at lower prices and compete better in the world market.
- It also helps attract foreign investment.

4 **What are the various ways in which MNCs set up, control or produce in other countries?**

✔ ANSWER

MNCs spread their production in these ways:

- **Setting up their own factories and offices** where labour and other resources are cheap and markets are near.
- **Joint production with local companies:** MNCs provide money for new machines and bring the latest technology (e.g., Ford with Mahindra and Mahindra).
- **Buying up local companies** and expanding production. This is the most common route (e.g., Cargill Foods bought Parakh Foods).

- **Placing orders with small producers** (garments, footwear, sports items) and selling the goods under their own brand names; they control price, quality, delivery and labour conditions.
- **Competing closely** with local companies.

As a result, production in widely dispersed locations gets interlinked.

5 **Why do developed countries want developing countries to liberalise their trade and investment? What do you think should the developing countries demand in return?**

💡 SAMPLE ANSWER

Why developed countries want it:

- Their MNCs get large new markets to sell their goods and services.
- MNCs can invest freely and use cheap labour and resources in developing countries, earning greater profits.
- So, through the WTO, they press developing countries to remove trade barriers, while they themselves have unfairly retained some (e.g., huge support to US farmers).

What developing countries should demand:

- Developed countries should also remove their trade barriers and stop subsidies to their farmers and producers.
- Fairer rules at the WTO and an equal say in making them.

- Freedom to protect weak sectors like agriculture and small industries.
- Transfer of technology and freer movement of their people for jobs.

6 **"The impact of globalisation has not been uniform." Explain this statement.**

✔ ANSWER

Globalisation has benefited some people but hurt others.

Who benefited:

- Well-off consumers in urban areas: greater choice, better quality, lower prices, higher standard of living.
- MNCs: their investments in India have increased; new jobs created in such industries.
- Top Indian companies: new technology, collaborations; some became MNCs (Tata Motors, Infosys, Ranbaxy).
- IT and service companies: new opportunities (call centres, data entry, accounting).

Who suffered:

- Small producers (batteries, capacitors, toys, tyres, dairy products, vegetable oil) hit hard by competition; many units shut, workers jobless.
- Workers: jobs became temporary and insecure, low wages, long hours, no benefits.

So people with education, skill and wealth gained most, while many small producers and workers did not share the benefits.

7 **How has liberalisation of trade and investment policies helped the globalisation process?**

✔ ANSWER

- Removing barriers made it easy to import and export goods, so foreign trade rose rapidly.
- Foreign companies could set up factories and offices in India, so foreign investment rose.
- Businesses could decide freely what to import or export.
- MNCs could spread their production across countries and look for the cheapest locations.
- Greater trade and investment led to greater integration of production and markets, which is globalisation.

8 **How does foreign trade lead to integration of markets across countries? Explain with an example other than those given here.**

💡 SAMPLE ANSWER

Example: **Japanese/Korean mobile phones or Australian apples in India** (model example).

- Australian apples come into Indian markets through foreign trade.
- Indian buyers now have a choice between Indian (e.g., Himachal) apples and Australian apples.
- Prices of apples in the two markets tend to become equal.
- Indian apple growers and Australian growers now compete closely, though they are thousands of km apart.

Thus foreign trade connects (integrates) the markets of the two countries: goods travel from one market to another, choice rises, prices become similar and producers compete.

9 **Globalisation will continue in the future. Can you imagine what the world would be like twenty years from now? Give reasons for your answer.**

💡 **SAMPLE ANSWER**

Model answer:

- **More choice:** goods and services from all over the world will be easily available, mostly bought online.
- **Production spread worldwide:** more MNCs, including Indian ones, will work in many countries, using new technology like AI and robots.

- **Services across borders:** many people will work from home for companies in other countries through the Internet.
- **More competition:** producers will have to keep improving quality and cutting costs; small producers may struggle without support.
- **Inequality risk:** skilled and educated people may gain more, so fair rules and support for the poor will be needed.

Reason: improving technology (IT, transport) and liberal trade policies will keep bringing countries closer.

10 **Supposing you find two people arguing: One is saying globalisation has hurt our country's development. The other is telling, globalisation is helping India develop. How would you respond to these arguments?**

💡 **SAMPLE ANSWER**

Both are partly right, because the impact of globalisation has not been uniform.

- **It has helped:** more choice, better quality and lower prices for consumers; new jobs in MNC industries and IT services; top Indian companies improved and some became MNCs.

- **It has hurt:** many small producers have shut down due to competition from imports and MNCs; workers have lost job security and benefits.
- Benefits have gone mainly to people with education, skill and wealth.

My response: Globalisation is now a reality, so we should make it **fair**. The government should implement labour laws, support small producers, use trade barriers if necessary and negotiate fairer rules at the WTO; people's organisations should also campaign for this.

11 **Fill in the blanks.**

Indian buyers have a greater choice of goods than they did two decades back. This is closely associated with the process of ____. Markets in India are selling goods produced in many other countries. This means there is increasing ____ with other countries. Moreover, the rising number of brands that we see in the markets might be produced by MNCs in India. MNCs are investing in India because ____. While consumers have more choices in the market, the effect of rising ____ and ____ has meant greater ____ among the producers.

✔ ANSWER

Indian buyers have a greater choice of goods than they did two decades back. This is closely associated with the process of **globalisation**. Markets in India are selling goods produced in many other countries. This means there is increasing **foreign trade** with other countries. Moreover, the rising number of brands that we see in the markets might be produced by MNCs in India. MNCs are investing in India because **India has a large market and offers skilled and unskilled labour and other resources at low cost**. While consumers have more choices in the market, the effect of rising **foreign trade** and **foreign investment** has meant greater **competition** among the producers.

12 **Match the following.**

(i) MNCs buy at cheap rates from small producers

(ii) Quotas and taxes on imports are used to regulate trade

(iii) Indian companies who have invested abroad

(iv) IT has helped in spreading of production of services

(v) Several MNCs have invested in setting up factories in India for production

(a) Automobiles (b) Garments, footwear, sports items (c) Call centres (d) Tata Motors, Infosys, Ranbaxy (e) Trade barriers

✔ ANSWER

Column A	Answer
(i) MNCs buy at cheap rates from small producers	(b) Garments, footwear, sports items
(ii) Quotas and taxes on imports are used to regulate trade	(e) Trade barriers
(iii) Indian companies who have invested abroad	(d) Tata Motors, Infosys, Ranbaxy
(iv) IT has helped in spreading of production of services	(c) Call centres

(v) Several MNCs have invested in setting up factories in India	(a) Automobiles

13 (i) **The past two decades of globalisation has seen rapid movements in**

(a) goods, services and people between countries.

(b) goods, services and investments between countries.

(c) goods, investments and people between countries.

✔ ANSWER

(b) goods, services and investments between countries. Movement of people has not increased much due to various restrictions.

13 (ii) **The most common route for investments by MNCs in countries around the world is to**

(a) set up new factories.

(b) buy existing local companies.

(c) form partnerships with local companies.

✔ ANSWER

(b) buy existing local companies. The book says this is the most common route, e.g., Cargill Foods buying Parakh Foods.

13 (iii) **Globalisation has led to improvement in living conditions**

(a) of all the people

(b) of people in the developed countries

(c) of workers in the developing countries

(d) none of the above

✔ ANSWER

(d) none of the above. Benefits have not reached all people; well-off consumers gained, but many small producers and workers suffered, so none of the given groups as a whole is correct.

🧪 Additional activity / project

I **Take some branded products that we use everyday (soaps, toothpaste, garments, electronic goods, etc.). Check which of these are produced by MNCs.**

💡 SAMPLE ANSWER

Method: read the label or pack for the maker's name and look it up (pack, website).

Product	Company	MNC?
Toothpaste	Colgate-Palmolive	Yes (American)
Soap / shampoo	Hindustan Unilever	Yes (Indian arm of Unilever)

Soft drink	Coca-Cola / PepsiCo	Yes (American)
Biscuits	Parle	No (Indian)
Mobile phone	Samsung	Yes (Korean)

Conclude how many of your everyday products are made by MNCs.

II **Take any Indian industry or service of your choice. Collect information and photographs on:**

(i) Various producers/companies in the industry

(ii) Is the product exported to other countries?

(iii) Are there MNCs among the producers?

(iv) Competition in the industry

(v) Conditions of work in the industry

(vi) Has there been any major change in the industry in the past 15 years?

(vii) Problems that people in the industry face.

💡 **SAMPLE ANSWER**

Model project plan (e.g., the **automobile industry**):

- (i) Producers: Tata Motors, Mahindra and Mahindra, Maruti Suzuki, Hyundai, Toyota, Honda, etc.
- (ii) Exports: yes, cars and auto-parts are exported to many countries.

- (iii) MNCs: yes, e.g., Hyundai, Toyota, Honda, Suzuki.
- (iv) Competition: many brands and new models every year; prices and features compete.
- (v) Work conditions: permanent workers in big factories, but many contract/temporary workers in parts-making units.
- (vi) Changes: electric vehicles, more automation, more MNC investment.
- (vii) Problems: rising costs, competition for small parts makers, job insecurity.

Collect newspaper cuttings, photos and an interview; present it as a chart or file.

🎉 **Chapter 4 done! Revise the answers once more tomorrow.**